Business Case

SME Capital Matching Initiative, Funding Readiness project

The Johannesburg Stock Exchange runs an initiative called SME Capital Matching, which connects small and medium-sized enterprises with investors willing to provide capital for growth. Businesses apply through a public online form, a small team inside the JSE reviews what comes in, and those assessed as suitable for investment are introduced to funders.

The initiative has a substantial record behind it. Its 2023 pilot round matched 90 businesses with funders, and the 2024 round matched 190. The round that opened in May 2025 received more than 1,100 applications, close to six times the number of businesses the initiative had ever placed in a single round.

Those figures describe the difficulty precisely: the initiative has become far better at attracting applicants than at placing them, and that shortfall will widen with every round that follows.

The goal is to increase the number of SMEs that the initiative connects with investors in each round, and to reach that outcome sooner after applications close. Every successful match strengthens the initiative's reputation, which attracts more investors to take part and encourages stronger businesses to apply in the rounds that follow.

I built a repeatable assessment that scores every application against a single consistent standard and then sorts the applicants into three tiers, High, Mid and Low, according to how viable each business is as a candidate for receiving capital funding. Because the assessment is automated, it produces the ranked list as soon as the round's applications are available. Reviewing the same volume by hand takes several weeks, and by the time that review is finished much of what the applicants submitted is already out of date. I built it because the shortfall is structural rather than temporary, and not a consequence of one unusually large round.

1. The campaign has outgrown its review capacity

The growth in applications is the initiative working as intended, and it is also the origin of the difficulty. More than 1,100 applications is beyond what a small team can read closely, hold to a consistent standard, and finish within a useful window. A review at that scale runs for weeks, and it becomes genuinely difficult to judge the last application by the same measure as the first.

The binding constraint is therefore not investor appetite, and it is not the quality of the applicants. It is the number of applications that can be worked through in the time available. Set against more than 1,100 applications, the 90 matches of 2023 and the 190 of 2024 are creditable results that nonetheless leave most applicants unreached.

None of this reflects on the SME team. It is what happens when a campaign succeeds faster than the means available to process it, and it will happen again in every round unless the review itself changes.

2. At this volume, the operative question changes

Only a limited number of businesses can be prepared, packaged and introduced to funders in any round: 90 in the first, 190 in the second. Against more than 1,100 applicants, the question is therefore not whether each application is accepted or declined. It is which businesses are seen first.

Without a reliable answer to that question, the initiative carries two costs. Businesses that would genuinely interest a funder may never surface, because nothing in the process brings them forward. And the initiative cannot readily explain why one applicant advanced and another did not, which matters both to the applicant who asks and to an investor who wants to understand how a shortlist was arrived at.

3. A single readiness standard, applied to every applicant

Answering that question requires one standard, applied to every applicant in the same way. I assessed each business against the questions a funder would ask before committing capital:

- Is this a real and growing concern?
- Is it trading, and will the funding create employment?
- Is the amount requested proportionate to what the business earns?
- What are its transformation credentials, meaning its Broad-Based Black Economic Empowerment (B-BBEE) standing and ownership profile, which many South African funders are required by mandate to weigh?

The result is expressed as a single readiness score, so that every applicant can be placed in a clear order of priority and given a recommended action rather than a simple yes or no.

Two constraints shaped the design. The assessment draws only on information applicants have already submitted, so nothing further is asked of them and no business is penalised for a question the form itself failed to capture. It is also repeatable, so that a future round can be assessed as its applications close rather than over the weeks that follow.

What the approach does not do is worth stating plainly. It measures readiness to be presented to a funder, not creditworthiness. It works with self-reported information that nothing independently verifies. It orders the pool and directs attention, but the funding decision remains the funder's, and due diligence still follows.

I built the assessment, ran it against the 2025 round's applications, and handed it to the SME team.

4. A ranked shortlist available when applications close

Measured against that goal, the assessment changes the team's position in four ways.

A shortlist available immediately. Rather than an undifferentiated pool, the team holds a ranked list and a defined group of businesses that can go to investors as they stand. It is available when applications close rather than weeks later, while the applicants' information is still current and the applicants themselves are still engaged.

More matches per round. The measure of the campaign is not applications received but capital deployed. Working the High tier immediately, while directing development effort towards the Mid-tier businesses that are close to ready, widens the group that can realistically be placed rather than simply reordering it.

A position the team can defend. Every applicant is measured against the same standard, so the reason for any business's standing can be given plainly, whether to the applicant who asks why or to an investor who asks how the shortlist was built. Applicants who fall short are no longer a rejection pile, because each one has specific, named gaps that can be closed.

A stronger case for attracting investors. Once the pipeline can be described in numbers, it becomes something to recruit investors with. Prospective funders can be shown how large the pool is, how strong it is, and what its transformation profile looks like before they commit, which is a considerably better proposition than an undifferentiated pile of a thousand applications. Each early match also becomes a reference story that draws stronger applicants into the round that follows.

Applied to the 2025 round, the assessment identified 245 businesses ready to be presented to investors as they stand. The strongest previous round placed 190, though a ready shortlist and a completed match are not the same measure.

Where the rest of the project lives

This document covers the business case only. How the assessment was designed, what it found and the actions arising from it are documented separately.

- **Insights and Actionable Decisions** (presentation): the segmentation findings, the tier-by-tier actions, and the case for capital partners
- **Data Cleaning Walkthrough**: how the raw application data was diagnosed and repaired
- **Funding Readiness Segmentation** (notebook): the scoring model and how the tiers are built
- **Power BI dashboard**: the scored and segmented pool, built for the SME team to explore

The full project, including the data and the code behind it, is at github.com/MainDevWork/SME_Capital_Funding_Optimization